NVIDIA: watch / defer

Investment committee | No current position | 12-24 month decision horizon

Historical valuation: September 10, 2026 US close. Prepared October 19, 2026. USD/share; model statements in USD millions. This is a dated academic decision, not an October 19 live-price recommendation.

Causal range	Base reference	Market close	Entry ceiling
$55.93-$212.08	**$118.58**	**$218.36**	**$94.87**

Committee ask and valuation range

WATCH / DEFER at $218.36. Causal FCFF range **$56-$212**, with a base reference around **$119**. No probabilities or mechanical average are asserted. Consider initiation only below roughly **$95**, a 20% margin of safety to the refreshed base value, AND after demand, collections, margin and contingent-exposure conditions pass. If financing/demand downside is substantiated, do not initiate even at a superficially cheap price.

Business evidence and operating judgment

NVIDIA's Q2 FY27 revenue 96,221 and Data Center 89,023 demonstrate rapid AI-infrastructure adoption; Q3 guidance 108,000 assumes no China Data Center compute revenue. LTM revenue 302,970=FY26 215,938+current H1 177,837-prior H1 90,805. Base DC growth 40/30/22/15/10% fades as competition, customer funding and power constraints rise. Edge growth 15/12/10/8/6%; GM 74% fades to 72%; R&D 8.6% sales and SG&A 3% GP retain operating costs. These are our assumptions, not management's five-year guidance.

The prior labs correctly raised durability and margin questions, but annual growth alone cannot value the stock. Base DSO 75, inventory 125 and DPO 60 days require collections and inventory improvement. Forecast SBC is replaced with cash compensation of equal cost; no free-labor addback or buyback benefit. Tax 18%, capex 3% sales, explicit depreciation/amortization and working capital drive five articulated income, balance and cash-flow statements. No balancing equity plug or automatic borrowing conceals a deficit.

DCF and complete ownership bridge

Base WACC **13.90%**: nominal Treasury 4.95% + assumed beta 1.8 * assumed ERP 5%; debt spread 1%, market-value weights and 18% tax. Terminal g 3%, ROIC 25% require reinvesting 12% of NOPAT; terminal value is **65.1% of EV**. Terminal dependence limits conviction; the WACC/g grid and boundary checks challenge it. Equity uses 24,242 M diluted proxy shares: 24,147 period-end basic plus 95 incremental quarter dilution; not annual weighted 24,514.

Operating EV **$2,793.80 billion** + net bridge **$80.94 billion** = common equity **$2,874.73 billion**; dividing by 24.242 billion diluted proxy shares gives **$118.58**. Reported cash 22,443 + debt securities 34,143 are distinct from equity investments. The bridge adds haircut public/private recoveries; deducts operating cash 10,000, tax reserve 1,700, fair debt 31,400, Groq consideration 986, future-investment recovery shortfalls and a year-3 guarantee-loss assumption of 2,500. Pending Hugging Face includes 11,900 purchase cash and up to 1,000 retention cash substitution in year 1, with zero acquired operating benefit. Payment mix/allocation remain unresolved; no invented synergy. Financial investments stay outside operating working capital.

Disagreement across methods and market expectations

Policy retained from Lab 8 admits profitable fabless designers: AMD use with mix/margin qualification; Broadcom qualify for material software/custom silicon. At the same September 10 close, annual GAAP P/E is AMD 190.04 x and AVGO 75.65 x; EV/annual sales is AMD 23.83 x and AVGO 28.16 x, with latest-public financial bridges and quarter diluted-share proxies. P/E suggests approximately $371-$931; EV/sales $213-$252. These are weak market-context intervals: annual denominators lag explosive growth, AMD margins differ and AVGO includes software. Dropping either peer selects the other endpoint. We do not average them into the DCF range. No defensible control-transaction multiple is available; the pending platform acquisition has different synergy/control context and insufficient audited denominators.

At fixed base economics, the market price implies adding **19.8 pp** to every DC growth assumption, giving approximately 60%, 50%, 42%, 35%, 30% growth and year 5 total revenue **$1,692 bn**. This is one conditional reverse-DCF solution, not the uniquely correct explanation of price. A lower WACC or stronger margins could imply another solution.

An attributed peer challenge exposed range-selection bias: equal +/-5% relative final-model shocks give margin a $14.04/share span versus $8.89 for Data Center growth. Driver ranking depends on ranges and horizon; all four isolated runs still defer.

Downside that changes the action

Low case DC growth 20/15/10/5/3%, GM 70% to 66%, DSO 95 and inventory 155 days combines slower deployments, customer-financing pressure and stranded supply. It adds 10,000 incremental supply-loss expense and 25,000 expected guarantee-call claim at year 3; value around $56 and **DO NOT INITIATE**. High case requires sustained adoption and improved collections/margins, not an arbitrary price premium; around $212. The $279 bn supplier commitments are not customer orders. Note 10 also reports $56 bn additional cloud/third-party lease commitments and a $105 bn SB Energy guarantee cap. These exposures are not all certain present debt, but they make unsupported backlog claims dangerous. Expected-loss assumptions require better recourse/collateral/default evidence.

Conditions, reversal triggers and next evidence

Revisit at every quarterly filing. Initiation requires price below the refreshed base entry ceiling, credible DC growth and collections, margin>=72%, and commitments funded without new owner-cost surprises. Two-quarter DC growth<20%, DSO>95, GM<70% or material capacity/guarantee losses support the no-initiate case. Durable faster demand with margin and payment conversion intact supports revising upward. Refresh prices, nominal rates, diluted awards, debt, investment realizations, pending-deal financing and guarantee terms before any trade. The July 26-to-September 10 balance roll-forward assumes uniform operating cash generation; actual interim cash data can change the bridge. Rounded investment classification and simplified leases/acquisition allocation are disclosed limits.

Validation and evidence status

The engine passes 15/15 claim-focused checks; a fresh environment reproduces four outputs. Edition A source text is unchanged. Attributed peer review, three videos and editorially corrected transcripts are supplied. Student precommit 5a9de1d locks g 3% to 2.5%: value falls $118.58 to $116.57 (-1.70%); WATCH / DEFER holds. Original checkpoint and audio/timestamp checks remain unresolved. Technical PASS does not certify those events or a grade.

Sources: NVDA FY26 10-K, Q2 FY27 10-Q / Notes 5-11, Q2 release, Sep 3 pending acquisition, Treasury September rates. Peer/price observations and complete date/field lineage: data/source-map.md; values and scenario detail: outputs/visible-output.md. Reviewed October 19; cutoff September 10. Codex assisted research/code/drafting/QA; audiovisual performance remains unverified.